

July machine tool orders (confirmed) and investment perspectives

Global Markets Research
27 August 2026

EQUITY: JAPAN MACHINERY

July orders unexpectedly up in Europe, solid in US and China

July orders solid in US and China, rise unexpectedly in Europe

Machine tool orders for July, based on confirmed data released by Japan Machine Tool Builders' Association on 27 August, totaled ¥53.2bn (down 8% m-m, up 50% y-y) in Japan and ¥139.9bn (down 4%, up 51%) overseas, versus our respective forecasts of ¥44.0bn and ¥133.6bn. Orders were ¥48.6bn (down 14%, up 52%) in China and ¥40.4bn (down 1%, up 51%) in North America, versus our respective forecasts of ¥43.4bn and ¥40.3bn, thus falling from the previous month but remaining firm at a high level. Orders were ¥23.1bn (up 20%, up 41%) in Europe, versus our ¥20.4bn forecast, which we view favorably and as a surprise, as they sharply exceed our forecast. However, this may reflect the positive impacts of auto parts-related projects in Italy and procedural delays in Germany returning to normal being manifested at the same time. As some of this is one-time in nature, it remains to be seen whether there will be a similarly strong recovery from August onwards.

Downtrend in China, partly for seasonal reasons, July Greater China orders at SMC driven by Taiwan

Orders in China fell m-m in July, partly for seasonal reasons, and while they were still high in absolute terms, they look to have peaked out over the near term for both general machinery and automotive applications (Figure 15, Figure 16). This comes as no major surprise as it is in line with monthly sales at Airtac. This is at odds with July sales data included in the recent Apr–Jun results of SMC [6273] (Neutral), which showed a m-m rise driven by Greater China. However, this looks to have been due to semiconductor-related orders in Taiwan, and orders in China were in line with trends seen in data for monthly sales at Airtac and machine tool orders. Growth in machine tool orders remained high y-y in July, near peak levels, and while demand for semiconductor and data center applications remained strong, particularly in the US and China, we expect y-y growth to slow as prior-year levels rise. While y-y growth in machine tool orders has been strong in Jul–Sep, we continue to expect growth to peak out from Oct–Dec.

Investment stance focused on both better-than-expected near-term orders and weakening momentum

As was the case prior to the release of Apr–Jun results, we think investment stances in the machinery sector continue to focus on both upbeat orders in the near term and a decline in momentum in terms of a slowdown in y-y growth. Among factory automation (FA)-related stocks, we recommend Fanuc [6954] (Buy), whose share price has fallen on delays in parts procurement, and Keyence [6861] (Buy), which has plenty of scope for growth via its own efforts even when demand is peaking out. As with machine tools, there is a time lag between orders and sales of computer numerical control (CNC) equipment at Fanuc's FA segment, and we think the scope for earnings recovery to still emerge is greater than for electronics/precision-related light FA companies. We also see increased investment appeal in heavy machinery-related and construction machinery/infrastructure-related subsectors if there is a clear decline in momentum in the machinery cycle. Among heavy machinery companies, we recommend Mitsubishi Heavy Industries [7011] (Buy) on strong GTCC orders and profits. Among construction machinery-related stocks, that of Komatsu [6301] (Neutral) has been performing favorably recently as rising copper prices have boosted interest in mining. On the other hand, while rising copper prices are a negative for near-term earnings at Daikin Industries [6367] (Buy), we think the easing of the impact of production cuts seen in Apr–Jun results will be a positive for 27/3 H2 earnings.

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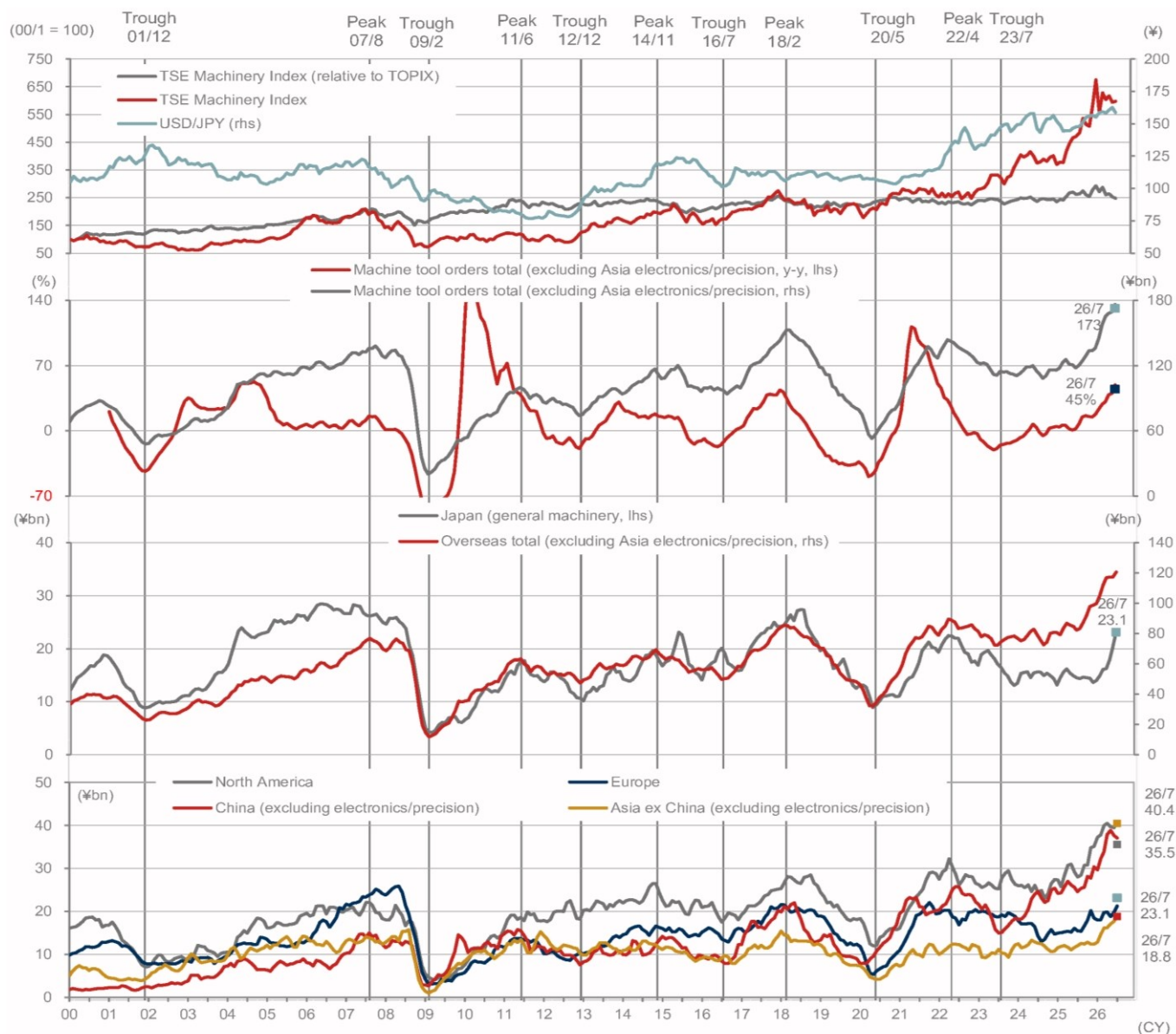
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Reference figures

Fig. 1: Peaks and troughs in machine tool orders around the world and machinery sector share prices



Note: Machine tool orders are on three-month moving average basis. Peaks and troughs are for total overseas machine tool orders (excluding Asia electronics/precision). Share prices are as of 27 August close.

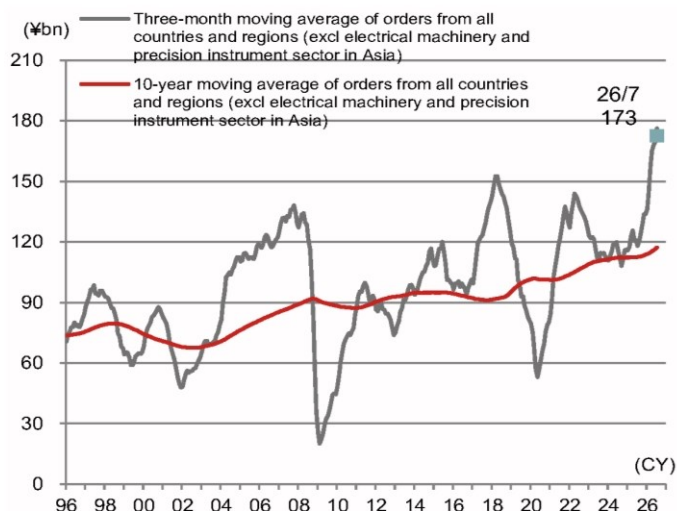
Source: Nomura, based on Japan Machine Tool Builders' Association data

Fig. 2: Machine tool orders received by Japanese companies

	Total		Total (ex Asian electronics/ precision)		Domestic		Overseas		Overseas (ex Asian electronics/ precision)		China						Asia ex-China				Europe		North America					
	(¥mn)	% y-y	(¥mn)	% y-y	(¥mn)	% y-y	(¥mn)	% y-y	(¥mn)	% y-y	(¥mn)	% y-y	(¥mn)	% y-y	Electronics/ precision		Non electronics/ precision	Electronics/ precision		Non electronics/ precision	(¥mn)	% y-y	(¥mn)	% y-y	(¥mn)	% y-y		
															General machinery	Automobile		(¥mn)	% y-y								(¥mn)	% y-y
Monthly	(¥mn)	% y-y	(¥mn)	% y-y	(¥mn)	% y-y	(¥mn)	% y-y	(¥mn)	% y-y	(¥mn)	% y-y	(¥mn)	% y-y	(¥mn)	% y-y	(¥mn)	% y-y	(¥mn)	% y-y	(¥mn)	% y-y	(¥mn)	% y-y	(¥mn)	% y-y		
24 /7	123,942	8	116,783	7	35,703	-9	88,239	18	81,080	17	29,495	66	5,267	24,228	76	9,795	34	7,589	48	14,279	26	1,892	12,387	28	14,710	-23	26,943	10
/8	110,770	-3	102,301	-7	32,192	-10	78,578	-1	70,109	-5	28,532	50	5,226	23,306	49	9,199	14	8,697	45	15,102	1	3,243	11,859	-9	10,708	-39	22,980	-7
/9	125,360	-6	117,460	-7	41,529	-8	83,831	-6	75,931	-6	27,418	40	5,669	21,749	36	9,744	20	9,833	67	15,388	20	2,231	13,157	62	13,503	-35	24,777	-27
/10	122,550	9	104,679	-3	33,441	-1	89,109	14	71,238	-3	28,996	49	7,674	21,322	29	9,369	63	10,258	22	20,888	89	10,197	10,691	13	16,509	-9	21,203	-23
/11	119,327	3	110,954	0	34,328	5	84,999	2	76,626	-2	29,319	33	4,936	24,383	37	8,593	17	11,644	56	13,126	13	3,437	9,689	-8	14,416	-29	26,238	-2
/12	143,094	13	132,492	10	39,923	4	103,171	16	92,569	13	36,252	50	7,112	29,140	55	12,320	18	11,509	47	15,060	2	3,490	11,570	-13	16,366	-16	31,977	15
25 /1	116,146	5	105,173	-0	31,996	5	84,150	5	73,177	-2	27,600	22	4,836	22,764	23	9,749	4	9,115	26	17,199	22	6,137	11,062	-14	13,218	-21	24,158	-1
/2	118,198	3	109,769	3	33,767	4	84,431	3	76,002	3	26,684	17	6,027	20,657	21	9,017	23	8,825	27	14,424	6	2,402	12,022	7	15,422	-10	25,742	0
/3	151,101	11	137,602	9	49,264	0	101,837	18	88,338	14	36,087	42	6,537	29,550	54	12,908	44	12,966	97	19,421	47	6,962	12,459	19	16,521	-4	27,277	-3
/4	130,214	8	120,696	6	34,379	-5	95,835	13	86,317	12	33,980	28	6,960	27,020	29	10,809	29	13,356	47	14,258	-7	2,558	11,700	-13	13,776	-19	32,025	41
/5	128,718	3	118,842	2	33,016	-5	95,702	7	85,826	6	30,954	11	6,466	24,488	14	10,401	6	11,373	30	14,213	-3	3,410	10,803	-15	15,833	-8	32,791	19
/6	133,163	-0	124,215	-2	39,869	-2	93,294	0	84,346	-2	32,177	2	5,237	26,940	2	12,112	-9	12,287	40	14,498	-5	3,711	10,787	-21	15,918	-8	28,241	20
/7	128,357	4	119,401	2	35,446	-1	92,911	5	83,955	4	31,954	8	6,568	25,386	5	11,279	15	10,216	35	15,591	9	2,388	13,203	7	16,439	12	26,713	-1
/8	120,172	8	110,386	8	31,895	-1	88,277	12	78,491	12	29,324	3	7,916	21,408	-8	11,280	23	7,614	-12	13,873	-8	1,870	12,003	1	14,143	32	29,077	27
/9	139,146	11	131,409	12	43,645	5	95,501	14	87,764	16	34,283	25	4,942	29,341	35	12,200	25	13,200	34	15,331	-0	2,795	12,536	-5	15,544	15	29,552	19
/10	143,456	17	130,845	25	35,693	7	107,763	21	95,152	34	31,791	10	5,650	26,141	23	13,430	43	10,097	-2	19,709	-6	6,961	12,748	19	20,205	22	33,550	58
/11	137,005	15	124,867	13	31,987	-7	105,018	24	92,880	21	38,128	30	9,245	28,883	18	11,529	34	13,329	14	16,168	23	2,893	13,275	37	18,141	26	29,421	12
/12	158,643	11	145,539	10	39,905	-0	118,738	15	105,634	14	37,125	2	8,909	28,216	-3	13,247	8	11,286	-2	15,419	2	4,195	11,224	-3	22,215	36	41,455	30
26 /1	145,579	25	130,363	24	32,624	2	112,955	34	97,739	34	43,298	57	9,315	33,983	49	13,655	40	14,672	61	18,556	8	5,901	12,655	14	15,051	14	34,554	43
/2	146,744	24	133,061	21	37,164	10	109,580	30	95,897	26	37,456	40	10,636	26,820	30	13,328	48	9,815	11	17,744	23	3,047	14,697	22	16,712	8	35,769	39
/3	193,470	28	170,842	24	50,473	2	142,997	40	120,369	36	51,353	42	15,434	35,919	22	17,769	38	13,528	4	23,738	22	7,194	16,544	33	22,377	35	43,064	58
/4	188,967	45	168,784	40	49,286	43	139,681	46	119,498	38	53,333	57	14,378	38,955	44	21,341	97	12,844	-4	22,936	61	5,805	17,131	46	20,281	47	41,056	28
/5	177,006	38	155,992	31	45,329	37	131,677	38	110,663	29	51,246	66	12,236	39,010	59	18,095	74	16,542	45	23,786	67	8,778	15,008	39	16,800	6	37,359	14
/6	203,375	53	179,787	45	58,020	46	145,355	56	121,767	44	56,489	76	17,905	38,584	43	18,873	56	14,930	22	24,933	72	5,683	19,250	78	19,355	22	40,653	44
/7	193,090	50	172,716	45	53,237	50	139,853	51	119,479	42	48,626	52	13,078	35,548	40	16,432	46	14,054	38	26,057	67	7,296	18,761	42	23,133	41	40,436	51
Quarterly																												
25 /1-3	385,445	7	352,544	4	115,027	2	270,418	9	237,517	5	90,371	28	17,400	72,971	33	31,674	23	30,906	49	51,044	25	15,501	35,543	3	45,161	-12	77,177	-1
/4-6	392,095	3	363,753	2	107,264	-4	284,831	7	256,489	5	97,111	13	18,663	78,448	14	33,322	6	37,016	39	42,969	-5	9,679	33,290	-17	45,527	-12	93,057	26
/7-9	387,675	8	361,196	7	110,986	1	276,689	10	250,210	10	95,561	12	19,426	76,135	10	34,759	21	31,030	19	44,795	0	7,053	37,742	1	46,126	19	85,342	14
/10-12	439,104	14	401,251	15	107,585	-0	331,519	20	293,666	22	107,044	13	23,804	83,240	11	38,206	26	34,712	4	51,296	5	14,049	37,247	17	60,561	28	104,426	31
26 /1-3	485,793	26	434,266	23	120,261	5	365,532	35	314,005	32	132,107	46	35,385	96,722	33	44,752	41	38,015	23	60,038	18	16,142	43,896	24	54,140	20	113,387	47
/4-6	569,348	45	504,563	39	152,635	42	416,713	46	351,928	37	161,068	66	44,519	116,549	49	58,309	75	44,316	20	71,655	67	20,266	51,389	54	56,436	24	119,068	28
CY																												
2023	1,486,519	-16	1,397,230	-14	476,821	-21	1,009,698	-13	920,409	-10	274,033	-27	58,964	215,069	-24	100,048	-14	92,285	-28	153,561	-15	30,325	123,236	-13	233,543	1	320,586	-7
2024	1,485,109	-0	1,379,326	-1	441,538	-7	1,043,571	3	937,788	2	337,132	23	69,555	267,577	24	116,285	16	106,881	16	180,084	17	36,228	143,856	17	188,865	-19	306,242	-4
2025	1,604,319	8	1,478,744	7	440,862	-0	1,163,457	11	1,037,882	11	390,087	16	79,293	310,794	16	137,961	19	133,664	25	190,104	6	46,282	143,822	-0	197,375	5	360,002	18
FY																												
2023	1,453,136	-15	1,370,291	-14	457,521	-21	995,615	-11	912,770	-9	261,398	-28	53,239	208,159	-26	99,652	-13	83,734	-36	159,387	-6	29,606	129,781	-6	224,642	-3	322,072	-3
2024	1,509,736	4	1,393,561	2	444,162	-3	1,065,574	7	949,399	4	356,625	36	70,759	285,866	37	122,268	23	117,025	40	190,212	19	45,416	144,796	12	182,888	-19	305,229	-5
2025	1,704,667	13	1,560,466	12	446,096	0	1,258,571	18	1,114,370	17	431,823	21	97,278	334,545	17	151,039	24	140,773	20	199,098	5	46,923	152,175	5	206,354	13	396,212	30

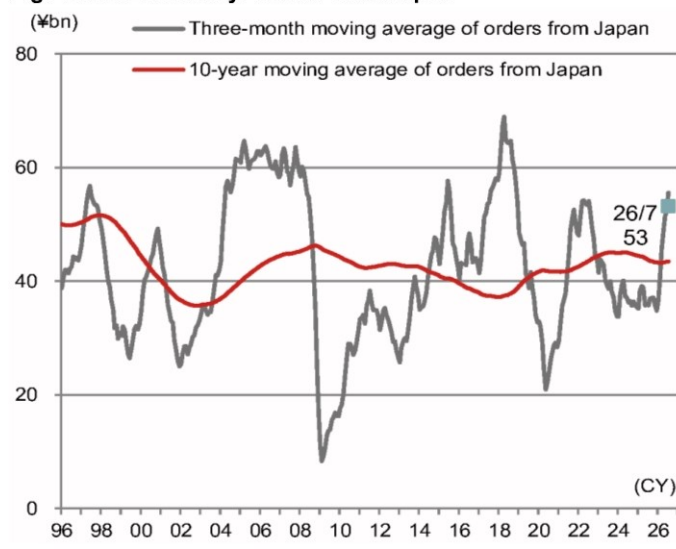
Source: Nomura, based on Japan Machine Tool Builders' Association data

Fig. 3: JMTBA survey: orders from all countries, regions (excl electrical machinery and precision instrument sector in Asia)



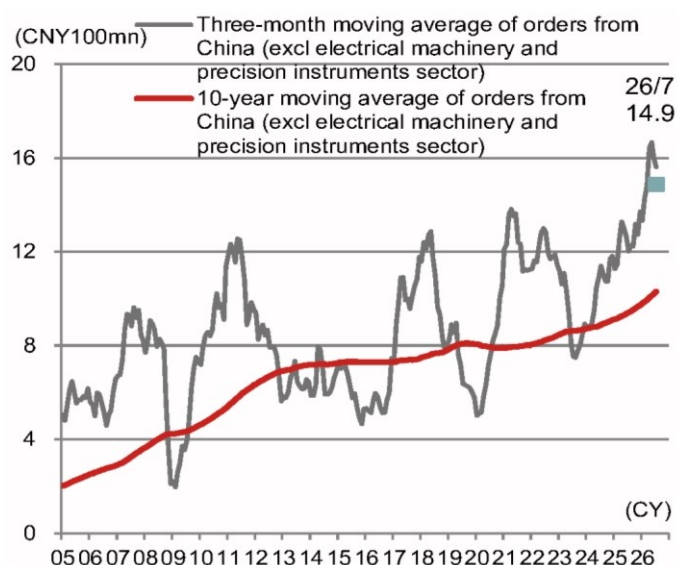
Source: Nomura, based on Japan Machine Tool Builders' Association data (includes some estimates)

Fig. 4: JMTBA survey: orders from Japan



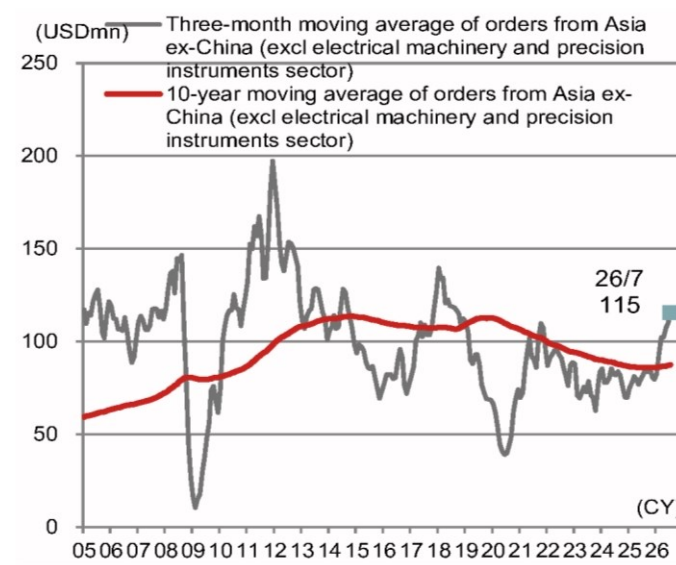
Source: Nomura, based on Japan Machine Tool Builders' Association data (includes some estimates)

Fig. 5: JMTBA survey: orders from China (excl electrical machinery and precision instruments sector)



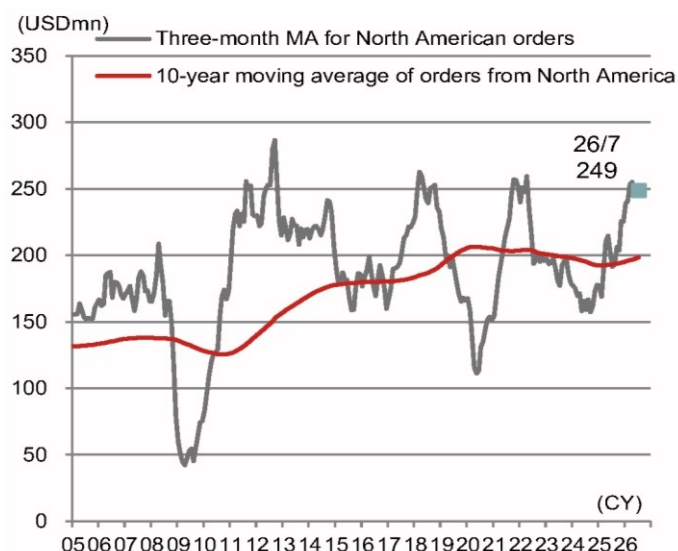
Source: Nomura, based on Japan Machine Tool Builders' Association data (includes some estimates)

Fig. 6: JMTBA survey: orders from Asia ex-China (excl electrical machinery and precision instruments sector)



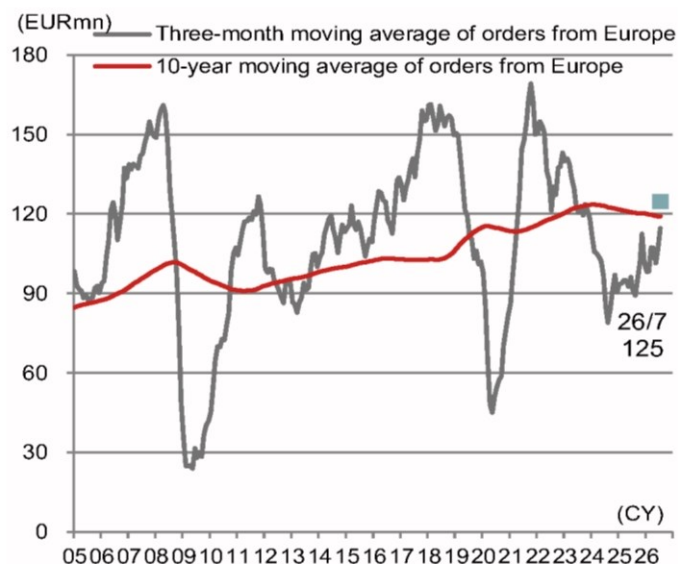
Source: Nomura, based on Japan Machine Tool Builders' Association data (includes some estimates)

Fig. 7: JMTBA survey: orders from North America (USD-denominated)



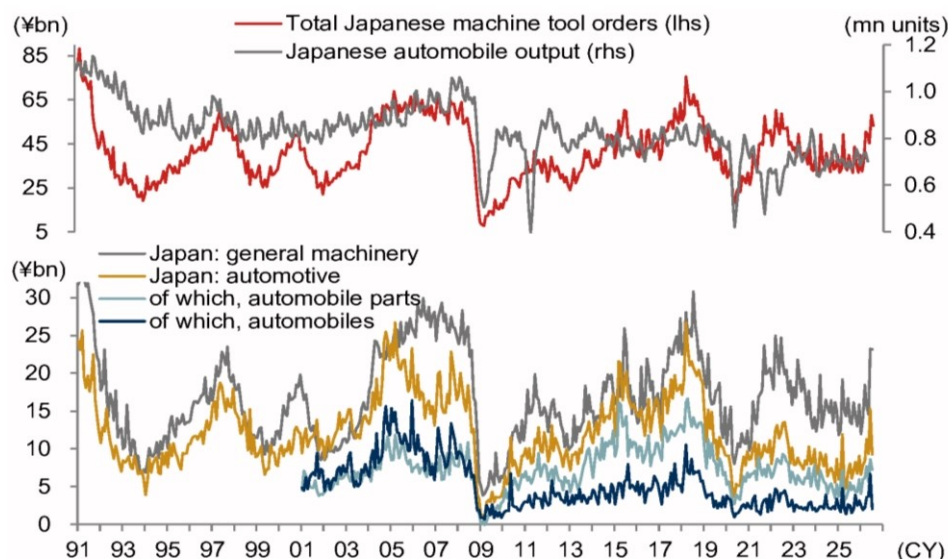
Source: Nomura, based on Japan Machine Tool Builders' Association data (includes some estimates)

Fig. 8: JMTBA survey: orders from Europe (EUR-denominated)



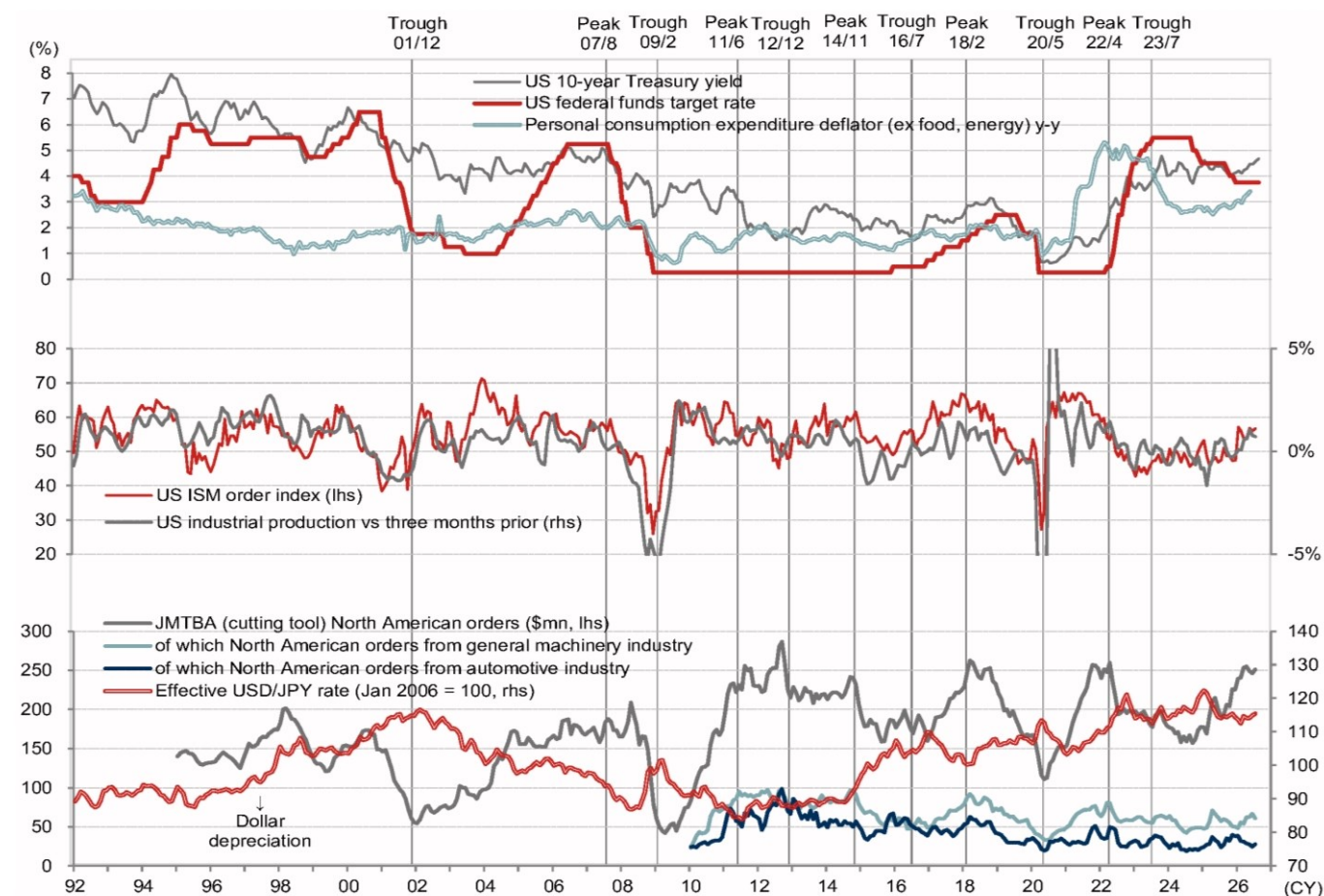
Source: Nomura, based on Japan Machine Tool Builders' Association data (includes some estimates)

Fig. 9: Machine tool orders at Japanese companies: Japanese customer breakdown



Source: Nomura, based on Japan Machine Tool Builders' Association data

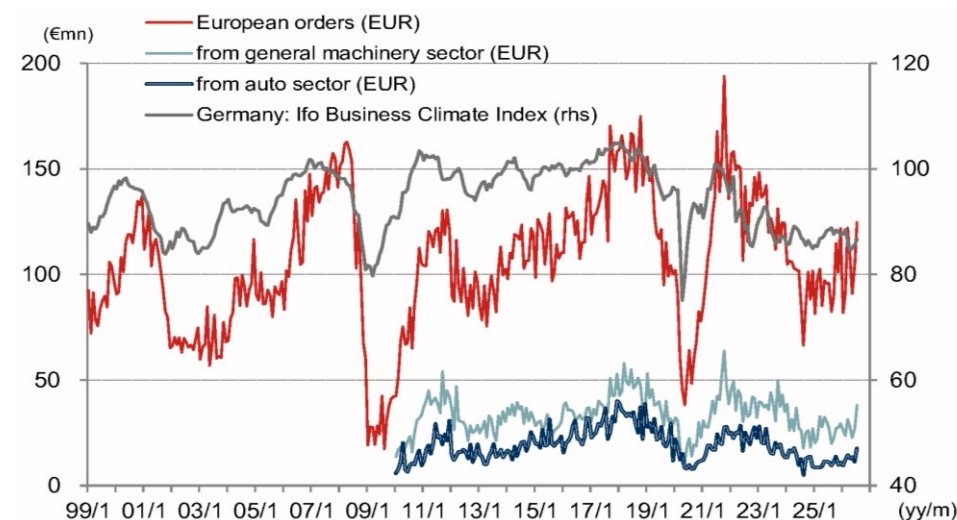
Fig. 10: US economic/industrial indicators: interest rates, US ISM orders, industrial production, machine tool orders



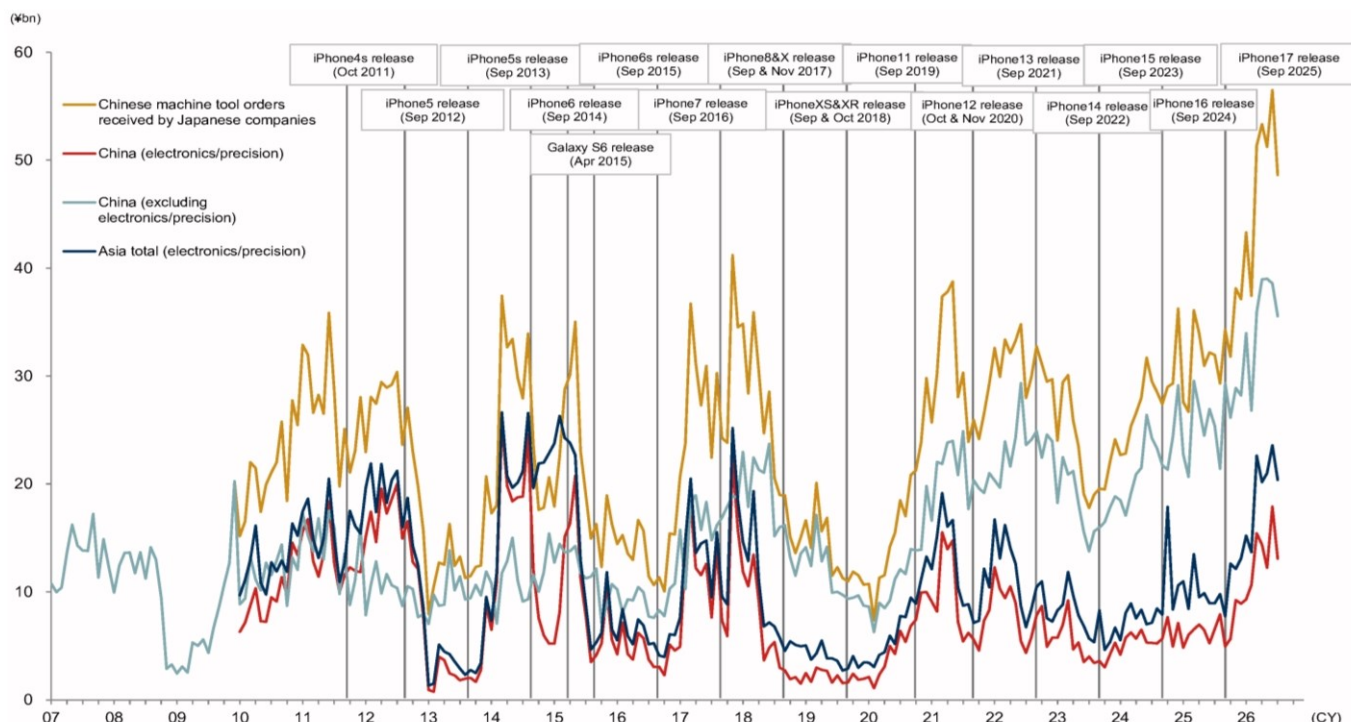
Note: Machine tool orders are on three-month moving average basis. Peaks and troughs are based on overseas machine tool orders (ex Asian electronics/precision industry). 10yr UST yield is monthly average.

Source: Nomura, based on RB, BEA, and Japan Machine Tool Builders' Association data

Fig. 11: European machine tool orders (euro-denominated) and German Ifo Business Climate Index



Source: Nomura, based on Ifo, Japan Machine Tool Builders' Association data

Fig. 12: Chinese machine tool orders received by Japanese companies (by customer sector), orders received from electronics/precision sector in Asia

Source: Nomura, based on Japan Machine Tool Builders' Association data

Fig. 13: China: Airtac sales, Komtrax operating hours, JMTBA machine tool orders for general machinery in China

Key data for considering machinery demand in China

	Airtac sales		Komtrax China		JMTBA: China orders, general machinery	
	(CNY '000)	(y-y)	(Hours)	(y-y)	(¥mn)	(y-y)
24/7	549,841	-1%	88	-1%	9,795	34%
8	541,490	-7%	93	3%	9,199	14%
9	547,280	-7%	95	7%	9,744	20%
10	510,106	-6%	105	4%	9,369	63%
11	571,907	0%	105	4%	8,593	17%
12	621,207	11%	108	19%	12,320	18%
25/1	494,763	-25%	66	-18%	9,749	4%
2	526,614	63%	56	98%	9,017	23%
3	773,101	16%	94	2%	12,908	44%
4	776,591	11%	98	1%	10,809	29%
5	668,675	7%	93	-7%	10,401	6%
6	656,312	16%	81	-7%	12,112	-9%
7	648,335	18%	87	-2%	11,279	15%
8	615,003	14%	83	-11%	11,280	23%
9	707,606	29%	81	-15%	12,200	25%
10	627,824	23%	88	-17%	13,430	43%
11	690,959	21%	100	-5%	11,529	34%
12	744,836	20%	99	-8%	13,247	8%
26/1	817,845	65%	91	38%	13,655	40%
2	475,088	-10%	37	-34%	13,328	48%
3	899,165	16%	85	-10%	17,769	38%
4	937,464	21%	92	-6%	21,341	97%
5	843,821	26%	89	-5%	18,095	74%
6	838,485	28%	81	0%	18,873	56%
7	840,547	30%	79	-8%	16,432	46%
24/1-2	981,846	14%	108	-8%	16,733	-9%
25/1-2	1,021,377	4%	122	13%	18,766	12%
26/1-2	1,292,933	27%	128	5%	26,983	44%

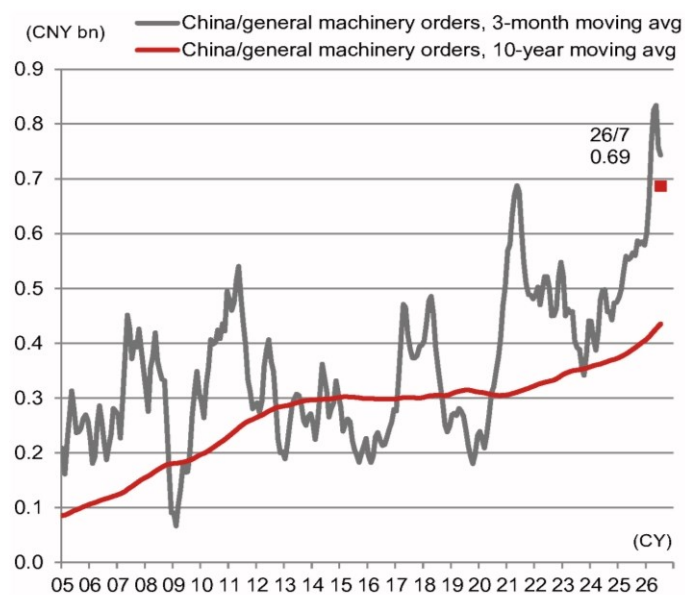
Source: Nomura, based on Japan Machine Tool Builders' Association and company data

Fig. 14: Timing of Chinese New Year

Year	Chinese New Year
11	3 Feb
12	23 Jan
13	10 Feb
14	31 Jan
15	19 Feb
16	8 Feb
17	28 Jan
18	16 Feb
19	5 Feb
20	25 Jan
21	12 Feb
22	1 Feb
23	22 Jan
24	10 Feb
25	29 Jan
26	17 Feb
27	6 Feb

Source: Nomura

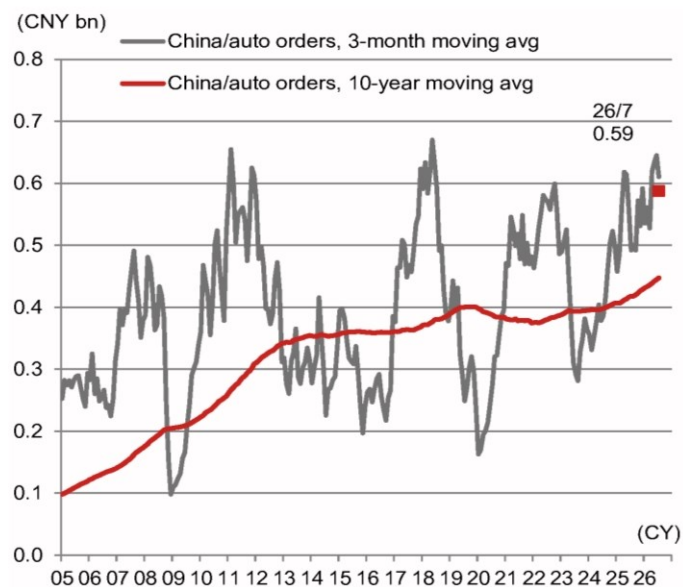
Fig. 15: JMTBA orders from general machinery sector in China



Note: Based on moving average for past ten years, assumes total orders over previous 10 years as installed base.

Source: Nomura, based on Japan Machine Tool Builders' Association data (includes some estimates)

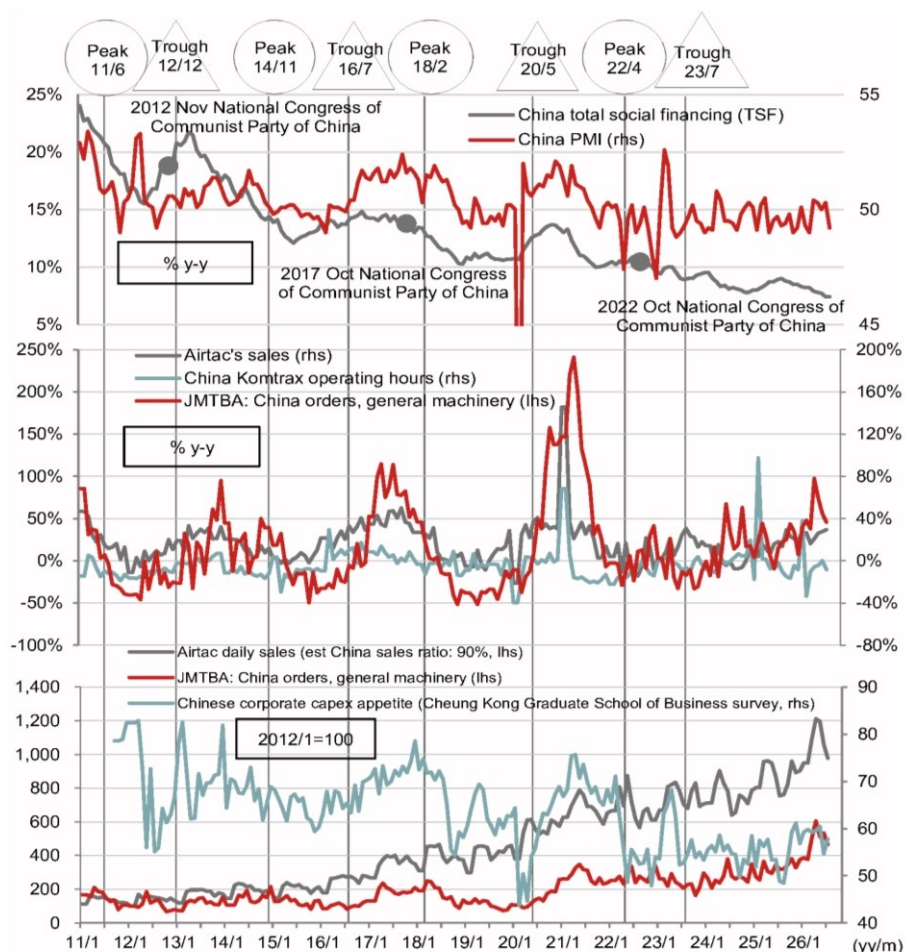
Fig. 16: JMTBA orders from automobile sector in China



Note: Based on moving average for past ten years, assumes total orders over previous 10 years as installed base.

Source: Nomura, based on Japan Machine Tool Builders' Association data (includes some estimates)

Fig. 17: China: Total social financing, Airtac sales, Komtrax operating hours, machine tool orders



Note: Y-y comparisons for Airtac's monthly sales in January and February are calculated using average for Jan-Feb because of considerable fluctuations due to date differences for Lunar New Year. Airtac sales calculated from daily sales (daily sales = monthly sales ÷ number of business days) since January 2017.

Source: Nomura, based on People's Bank of China data, Cheung Kong Graduate School of Business data, data disclosed by each company, and Japan Machine Tool Builders' Association data

Fig. 18: Airtac's sales mix by user industry

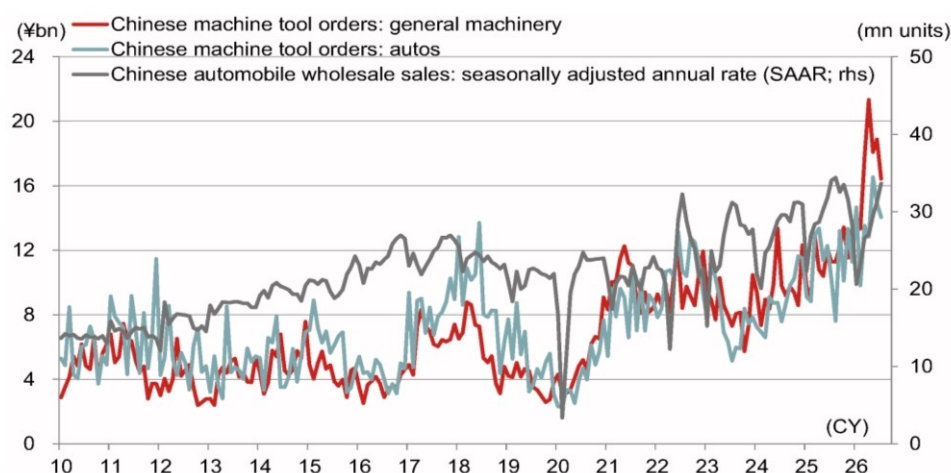
Broad mix of customer industries, biggest is electronics

(%)	2022	2023	2024	2025
Electronics	25	22	29	27
Machinery	13	12	14	13
Batteries	17	14	8	14
Packaging	7	8	9	9
Autos	6	6	8	10
Energy and lighting	6	13	5	3
Other	26	25	27	24

Source: Nomura, based on company data

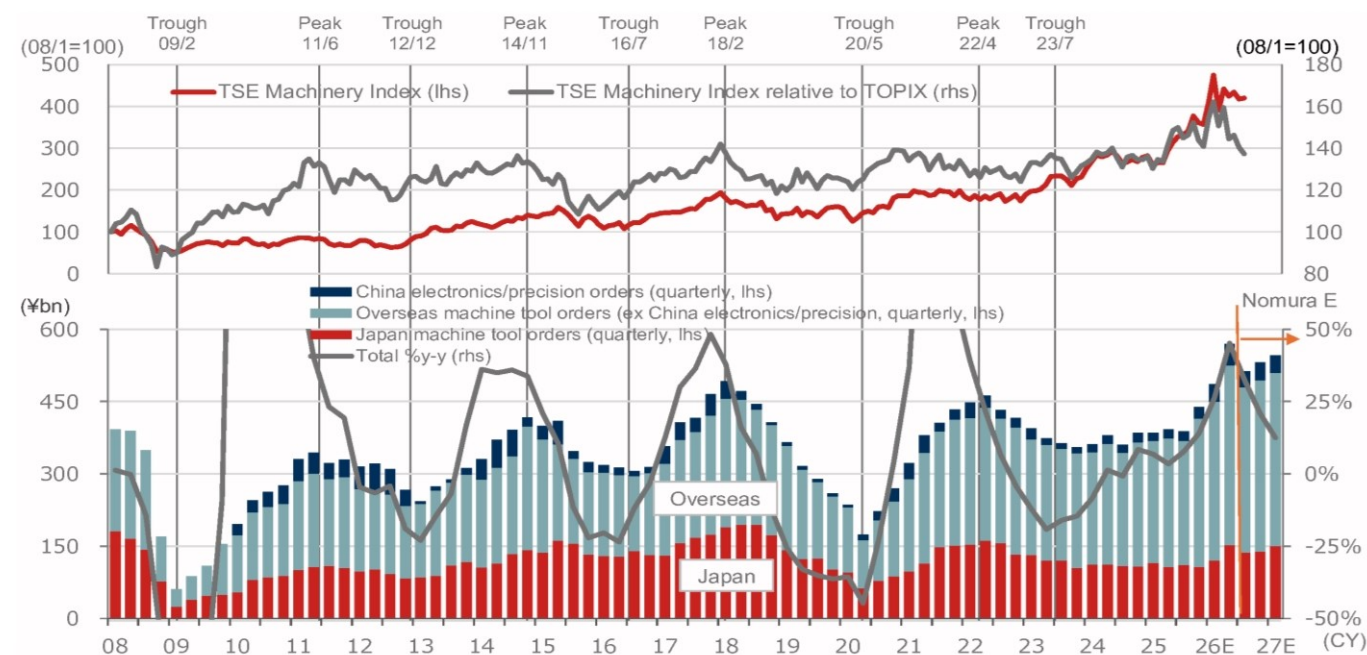
Fig. 19: Chinese automobile sales, machine tool orders received from auto/general machinery sector

Machine tool orders from auto sector are highly volatile



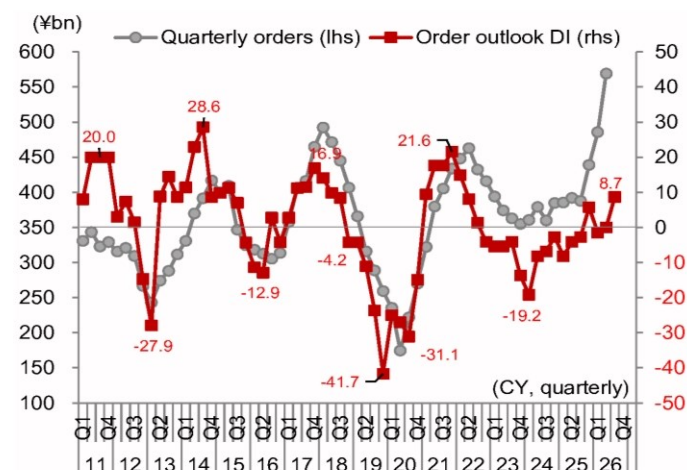
Source: Nomura, based on Japan Machine Tool Builders' Association, etc data

Fig. 20: Machine tool orders and machinery sector share prices



Note: Peaks and troughs are for total overseas machine tool orders (excluding Asia electronics/precision). Share prices are as of 27 August close.
Source: Nomura, based on Japan Machine Tool Builders' Association

Fig. 21: Order outlook DI based on members' survey, actual quarterly orders



Source: Nomura, based on Japan Machine Tool Builders' Association data

Fig. 22: Order outlook DI based on members' survey

Forecasts for q-q growth minus forecasts for q-q decline

Order outlook	26/7-9	26/4-6	26/1-3
Date of survey	Start-June 26	Start-Mar 26	Start-Dec 25
Increase	14.5	12.9	11.4
Hold steady	79.7	74.2	75.7
Decrease	5.8	12.9	12.9
Increase - decrease	8.7	0.0	-1.5

Source: Nomura, based on Japan Machine Tool Builders' Association data

Fig. 23: Machinery producers

Area	Company	Code	P/B
Separator film production equipment (for lithium-ion batteries)	Japan Steel Works	5631	2.7
	SHIBAURA MACHINE CO.,LTD.	6104	0.9
Injection molding machines	Japan Steel Works	5631	2.7
	SHIBAURA MACHINE CO.,LTD.	6104	0.9
	Sumitomo Heavy Industries	6302	1.0
	Fanuc	6954	3.0
Sheet metal/presses	Amada	6113	1.5
	AIDA ENGINEERING,LTD.	6118	0.8
Machine tools	Tsugami	6101	3.1
	Okuma	6103	1.2
	Makino Milling Machine	6135	1.4
	DMG Mori	6141	1.2
Grinders/semiconductor -related production equipment	Okamoto Machine Tool Works	6125	0.7
Industrial robots	Nachi-Fujikoshi	6474	0.7
	Yaskawa Electric	6506	2.6
	Fanuc	6954	3.0
	Kawasaki Heavy Industries	7012	2.6
Chip mounters	FUJI CORPORATION	6134	2.7
Winding machines	Nittoku	6145	1.0
Production equipment engineering	Hirata	6258	1.4

Note: P/B is based on end-FY25 BPS and 27 August share prices.

Source: Nomura

Fig. 24: Factory automation/machinery parts manufacturers

Area	Company	Code	P/B
Pneumatic equipment	SMC	6273	2.1
	CKD	6407	2.4
Linear motion systems (linear motion guides, ball screws)	NSK	6471	0.8
	Nippon Thompson	6480	1.5
	THK	6481	2.9
Spindle bearings (for machine tools)	NSK	6471	0.8
	NTN	6472	0.7
CNC equipment (Control computer for machine tools)	Mitsubishi Electric	6503	2.5
	Fanuc	6954	3.0
Servomotors	Yaskawa Electric	6506	2.6
	Mitsubishi Electric	6503	2.5
	Sanyo Denki	6516	1.5
Reducers (For robots, industrial machinery)	Nabtesco	6268	2.0
	Sumitomo Heavy Industries	6302	1.0
	Harmonic Drive Systems	6324	6.8
Sensor	Omron	6645	1.5
	Keyence	6861	5.7

Note: P/B is based on end-FY25 BPS and 27 August share prices.

Source: Nomura

Fig. 25: Forex sensitivity (vs USD, vs EUR)

Effect on pretax profits of JPY1 change (vs USD, vs EUR)

Code	Company	Pretax profits	vs USD		vs EUR		vs USD + vs EUR	
		FY26E	FY26E	FY26E	FY26E	FY26E	FY26E	
		¥mn	¥mn	pretax profits	¥mn	pretax profits	¥mn	pretax profits
Capital goods sector total				0.6%		0.1%		0.7%
7012	Kawasaki Heavy Industries	170,000	2,500	1.5%	600	0.4%	3,100	1.8%
6141	DMG Mori	22,000	300	1.4%	100	0.5%	400	1.8%
6305	Hitachi Construction Machinery	142,000	1,700	1.2%	600	0.4%	2,300	1.6%
6326	Kubota	363,000	4,600	1.3%	800	0.2%	5,400	1.5%
6301	Komatsu	549,000	5,500	1.0%	600	0.1%	6,100	1.1%
7013	IHI	234,000	1,900	0.8%	0	0.0%	1,900	0.8%
1963	JGC Holdings	68,000	500	0.7%	0	0.0%	500	0.7%
6954	Fanuc	285,000	1,200	0.4%	600	0.2%	1,800	0.6%
7011	Mitsubishi Heavy Industries	540,000	3,100	0.6%	400	0.1%	3,500	0.6%
6367	Daikin Industries	422,000	2,100	0.5%	600	0.1%	2,700	0.6%
6645	Omron	69,000	100	0.1%	300	0.4%	400	0.6%
6506	Yaskawa Electric	75,300	300	0.4%	100	0.1%	400	0.5%
6113	Amada	58,900	200	0.3%	70	0.1%	270	0.5%
7309	Shimano	58,000	260	0.4%	0	0.0%	260	0.4%
6481	THK	45,800	100	0.2%	100	0.2%	200	0.4%
6383	Daifuku	113,900	400	0.4%	0	0.0%	400	0.4%
9962	Misumi Group	57,903	150	0.3%	50	0.1%	200	0.3%
6273	SMC	240,000	400	0.2%	400	0.2%	800	0.3%
6861	Keyence	781,000	1,100	0.1%	600	0.1%	1,700	0.2%
6465	Hoshizaki	60,600	90	0.1%	30	0.0%	120	0.2%
6268	Nabtesco	30,000	50	0.2%	2	0.0%	52	0.2%
6586	Makita	118,500	-700	-0.6%	900	0.8%	200	0.2%
6845	Azbil	50,000	50	0.1%	15	0.0%	65	0.1%
6005	Miura	38,600	0	0.0%	0	0.0%	0	0.0%
6370	Kurita Water Industries	64,000	0	0.0%	0	0.0%	0	0.0%

Source: Company data, Nomura estimates

Fig. 26: Sales breakdown by region (FY25)

Company		FY25 sales breakdown by region							P/B
		Japan	Overseas	North America	Europe	Asia	of which, China	Other	FY2025
									(x)
6432	Takeuchi Mfg	1%	99%	57%	40%	2%	-	1%	1.9
6326	Kubota	23%	77%	40%	12%	22%	3%	3%	1.2
6367	Daikin Industries	16%	84%	36%	17%	24%	9%	8%	1.9
6005	Miura	52%	48%	34%	3%	12%	4%	0%	1.5
6395	Tadano	36%	64%	33%	12%	3%	-	17%	0.8
7012	Kawasaki Heavy Industries	40%	60%	32%	10%	13%	-	5%	2.5
6135	Makino Milling Machine	13%	87%	29%	8%	49%	30%	1%	1.4
6301	Komatsu	10%	90%	28%	18%	25%	-	19%	1.9
6113	Amada	36%	64%	28%	19%	18%	5%	0%	1.5
6954	Fanuc	13%	87%	27%	18%	41%	27%	1%	3.0
6383	Daifuku	28%	72%	26%	2%	41%	13%	3%	4.7
6103	Okuma	27%	73%	26%	15%	30%	22%	3%	1.2
7013	IHI	49%	51%	26%	6%	17%	-	2%	4.4
6465	Hoshizaki	47%	53%	25%	12%	17%	2%	0%	2.1
6506	Yaskawa Electric	27%	73%	24%	13%	36%	21%	0%	2.6
7011	Mitsubishi Heavy Industries	47%	53%	22%	8%	13%	-	9%	4.3
6302	Sumitomo Heavy Industries	40%	60%	22%	13%	21%	8%	4%	1.0
6305	Hitachi Construction Machinery	16%	84%	22%	14%	17%	2%	31%	1.4
6324	Harmonic Drive Systems	41%	59%	20%	28%	11%	7%	0%	6.8
6141	DMG Mori	15%	85%	20%	56%	9%	-	0%	1.2
6861	Keyence	33%	67%	19%	15%	28%	16%	5%	5.7
1963	JGC Holdings	26%	74%	16%	0%	15%	-	43%	1.3
9962	Misumi Group	40%	60%	14%	6%	37%	21%	2%	2.6
6370	Kurita Water Industries	53%	47%	14%	11%	22%	-	0%	2.6
6361	Ebara	33%	67%	12%	6%	39%	19%	9%	4.3
6481	THK	40%	60%	11%	9%	40%	30%	0%	2.9
6104	SHIBAURA MACHINE CO.,LTD.	30%	70%	11%	0%	53%	35%	6%	0.9
7309	Shimano	9%	91%	10%	44%	31%	-	5%	2.0
6877	OBARA	33%	67%	10%	0%	53%	26%	4%	1.2
6586	Makita	17%	83%	10%	50%	6%	-	17%	1.4
6273	SMC	19%	81%	10%	19%	47%	28%	5%	2.1
6645	Omron	45%	55%	10%	15%	29%	19%	0%	1.5
6841	Yokogawa Electric	27%	73%	9%	11%	30%	11%	22%	2.5
6282	Oiles	61%	39%	9%	5%	24%	-	1%	1.1
6268	Nabtesco	50%	50%	9%	19%	20%	14%	1%	2.0
6101	Tsugami	5%	95%	3%	2%	89%	80%	0%	3.1
6407	CKD	64%	36%	3%	0%	31%	16%	3%	2.4
6845	Azbil	82%	18%	3%	0%	14%	5%	1%	3.1
6222	SHIMA SEIKI MFG.,LTD.	18%	82%	0%	24%	48%	-	9%	0.4
Arithmetic average		32%	68%	19%	14%	28%		6%	
Weighted average		29%	71%	25%	14%	23%		9%	

Note: (1) Region categories may vary between companies. (2) P/B is based on end-FY25 BPS and 27 August share price.

Source: Nomura, based on data disclosed by each company

Fig. 27: Operating leverage at machinery sector companies

Code	Company	Sales			Operating profits			FY26 Nomura forecasts			Marginal profit ratio	Operating leverage	FY25 actual Net cash/ market cap
		FY17-18	FY19-20	Change	FY17-18	FY19-20	Change	Sales	Operating profits	Operating margin			
		¥mn	¥mn	%	¥mn	¥mn	%	¥mn	¥mn	%	%	x	%
		a	b	b/a	c	d	d/c	e	f	g	h	h/g	
6861	Keyence	587,095	538,134	-8%	317,868	276,758	-13%	1,445,000	756,000	52%	90%	1.7	7
7011	Mitsubishi Heavy Industries	4,078,344	4,041,376	-1%	200,570	-29,538	n.a	5,535,000	550,000	10%	20%	2.0	6
6301	Komatsu	2,725,243	2,189,512	-20%	397,806	167,328	-58%	4,343,000	585,000	13%	30%	2.2	-14
6273	SMC	591,035	526,000	-11%	192,428	146,254	-24%	990,000	220,000	22%	50%	2.3	16
6383	Daifuku	459,486	443,694	-3%	54,681	40,497	-26%	713,000	110,400	15%	35%	2.3	9
6481	THK	344,718	218,998	-36%	52,848	1,000	-98%	304,000	45,300	15%	35%	2.3	-3
6326	Kubota	1,751,535	1,853,234	6%	198,826	175,284	-12%	3,227,000	343,000	11%	25%	2.4	-62
6370	Kurita Water Industries	259,409	264,807	2%	24,326	25,667	6%	439,300	65,000	15%	35%	2.4	-4
6586	Makita	477,298	492,617	3%	79,762	64,046	-20%	846,200	118,500	14%	35%	2.5	17
6954	Fanuc	726,596	508,252	-30%	229,604	88,350	-62%	973,000	232,000	24%	60%	2.5	13
6845	Azbil	262,054	246,821	-6%	26,690	25,720	-4%	308,000	49,000	16%	40%	2.5	11
7012	Kawasaki Heavy Industries	1,594,743	1,488,486	-7%	64,023	-5,305	n.a	2,493,000	180,000	7%	20%	2.8	-32
6305	Hitachi Construction Machinery	1,033,703	813,331	-21%	116,841	32,710	-72%	1,468,000	149,000	10%	30%	3.0	-34
6113	Amada	338,175	250,448	-26%	44,559	17,653	-60%	490,000	58,000	12%	35%	3.0	9
9962	Misumi Group	312,969	313,337	0%	34,848	23,640	-32%	501,000	57,000	11%	35%	3.1	10
7013	IHI	1,483,442	1,112,906	-25%	82,488	10,361	-87%	1,837,000	149,000	8%	25%	3.1	-11
6506	Yaskawa Electric	464,523	410,957	-12%	57,126	24,198	-58%	621,000	70,300	11%	35%	3.1	-5
6268	Nabtesco	282,422	289,808	3%	29,468	26,620	-10%	332,000	28,500	9%	30%	3.5	3
6005	Miura	138,880	134,732	-3%	16,682	17,858	7%	286,800	32,800	11%	40%	3.5	12
7309	Shimano	348,035	363,230	4%	65,687	68,010	4%	491,000	48,000	10%	36%	3.7	27
6367	Daikin Industries	2,481,109	2,493,386	0%	276,254	238,623	-14%	5,356,000	442,000	8%	30%	3.6	-3
6465	Hoshizaki	292,774	238,314	-19%	36,446	18,447	-49%	537,000	56,900	11%	40%	3.8	20
6645	Omron	859,982	677,980	-21%	85,910	54,760	-36%	874,000	70,000	8%	40%	5.0	-6
6141	DMG Mori	501,248	328,283	-35%	31,275	5,106	-84%	575,000	30,000	5%	38%	7.3	-28
Average				-10%			-44%			13%	37%	2.9	

Note: Share prices are as of 27 August close. Operating profits exclude one-time gains/losses at Amada, DMG Mori, Nabtesco, THK, and IHI. Adjusted operating profits used for Hitachi Construction Machinery. FY26 Nomura forecasts are business profits for Mitsubishi Heavy Industries and Kurita Water Industries. For FY17-18 we use the years with the biggest operating profits, while for FY19-20 we use the years with the smallest operating profits.

Source: Company data, Nomura estimates

Fig. 28: Machinery sector: Main business sentiment indicators, order trends

	25/7	25/8	25/9	25/10	25/11	25/12	26/1	26/2	26/3	26/4	26/5	26/6	26/7
Business sentiment indices													
US ISM new orders	47.5	51.1	48.7	48.7	47.3	47.4	57.1	55.8	53.5	54.1	56.8	56.0	56.7
China PMI	49.3	49.4	49.8	49.0	49.2	50.1	49.3	49.0	50.4	50.3	50.0	50.3	49.2
Germany IFO	88.5	88.8	87.6	88.4	88.0	87.6	87.6	88.5	86.3	84.5	85.0	85.7	86.6
m-m change	0.2	0.3	-1.2	0.8	-0.4	-0.4	0.0	0.9	-2.2	-1.8	0.5	0.7	0.9
Machine tool orders													
North America (\$mn)	182.1	196.9	199.8	221.8	189.7	265.9	220.5	230.7	271.5	257.8	235.9	253.0	248.8
Three-month moving average	191.5	192.9	206.1	203.7	225.8	225.4	239.0	240.9	253.3	255.0	248.9	245.9	250.9
m-m	-5%	1%	7%	-1%	11%	0%	6%	1%	5%	1%	-2%	-1%	2%
China (CNYmn)	1,237.0	1,033.8	1,409.5	1,226.0	1,319.2	1,277.8	1,518.3	1,201.4	1,563.1	1,679.7	1,684.7	1,636.2	1,486.4
Three-month moving average	1,202.9	1,226.8	1,223.1	1,318.2	1,274.3	1,371.8	1,332.5	1,427.6	1,481.4	1,642.5	1,666.9	1,602.5	1,561.3
m-m	-5%	2%	0%	8%	-3%	8%	-3%	7%	4%	11%	1%	-4%	-3%
of which, general machinery (CNYmn)	549.6	544.7	586.1	629.9	526.6	599.9	610.1	597.0	773.2	920.2	781.5	800.3	687.1
Three-month moving average	565.3	560.1	586.9	580.8	585.4	578.8	602.3	660.1	763.5	825.0	834.0	756.3	743.7
m-m	2%	-1%	5%	-1%	1%	-1%	4%	10%	16%	8%	1%	-9%	-2%
of which, automotive (CNYmn)	497.8	367.7	634.1	473.5	608.8	511.1	655.5	439.7	588.7	553.8	714.4	633.1	587.7
Three-month moving average	491.9	499.9	491.8	572.1	531.1	591.8	535.4	561.3	527.4	619.0	633.8	645.1	610.4
m-m	-12%	2%	-2%	16%	-7%	11%	-10%	5%	-6%	17%	2%	2%	-5%
Europe (EURmn)	95.8	82.3	89.6	114.7	101.1	121.7	81.8	91.1	121.9	108.9	90.9	104.5	124.6
Three-month moving average	91.3	89.2	95.5	101.8	112.5	101.5	98.2	98.3	107.3	107.3	101.5	106.7	114.6
m-m	-5%	-2%	7%	7%	11%	-10%	-3%	0%	9%	0%	-5%	5%	7%
Japan (¥bn)	35.4	31.9	43.6	35.7	32.0	39.9	32.6	37.2	50.5	49.3	45.3	58.0	53.2
Three-month moving average	35.7	37.0	37.1	37.1	35.9	34.8	36.6	40.1	45.6	48.4	51.5	52.2	55.6
m-m	-1%	4%	0%	0%	-3%	-3%	5%	10%	14%	6%	6%	1%	7%
Other indicators													
Airtac daily sales (CNYmn)	25.9	26.2	28.3	33.0	30.7	31.0	35.6	29.7	37.5	41.7	41.2	36.5	33.6
Total control equipment shipments (¥bn)	58.6	50.3	57.9	58.0	53.2	57.1	56.3	55.0	64.9	51.9	54.3	66.4	
(y-y)	13.6	6.2	9.2	3.9	-0.2	6.3	12.6	13.9	18.9	-1.4	8.7	19.0	

Note: M-m change in three-month moving average for machine tool orders.

Source: Institute for Supply Management, IFO Institute, National Bureau of Statistics of China, Japan Machine Tool Builders' Association, Nippon Electric Control Equipment Industries Association, and company data

Appendix A-1

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We, Kentaro Maekawa and Angela Yang, hereby certify (1) that the views expressed in this Research report accurately reflect our personal views about any or all of the subject securities or issuers referred to in this Research report, (2) no part of our compensation was, is or will be directly or indirectly related to the specific recommendations or views expressed in this Research report and (3) no part of our compensation is tied to any specific investment banking transactions performed by Nomura Securities International, Inc., Nomura International plc or any other Nomura Group company.

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Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Keyence	6861 JP	JPY 82,150	27-Aug-2026	Buy	N/A	A6,A11
Fanuc	6954 JP	JPY 6,023	27-Aug-2026	Buy	N/A	A6,A11
Mitsubishi Heavy Industries	7011 JP	JPY 3,985	27-Aug-2026	Buy	N/A	A4,A5,A6,A7,A11

A4 The Nomura Group has had an investment banking services client relationship with the subject company during the past 12 months.

A5 The Nomura Group has received compensation for investment banking services from the subject company in the past 12 months.

A6 The Nomura Group expects to receive or intends to seek compensation for investment banking services from the subject company in the next three months.

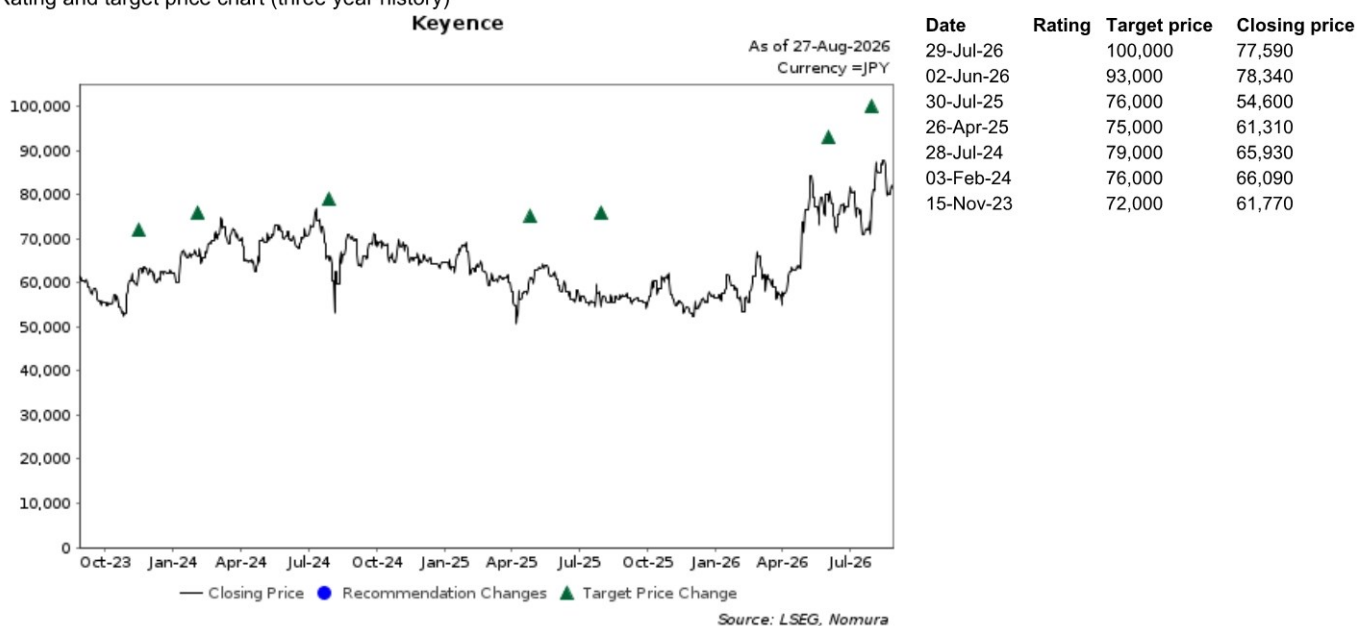
A7 The Nomura Group has managed or co-managed a public or private offering of the subject company's securities in the past 12 months.

A11 The Nomura Group beneficially owns 1% or more of a class of common equity securities of the subject company.

Keyence (6861 JP)

JPY 82,150 (27-Aug-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We obtain our target price of ¥100,000 by multiplying our 29/3 EPS forecast of ¥2,711 by a P/E of around 37x. The most recent profit growth phase was from 11/3 to 19/3, and the P/E based on peak EPS over this period reached a peak of 37x in 19/3. We think the company entered another profit growth phase in 25/3, and demand has been gaining momentum, especially in the semiconductor industry, on which basis we apply this peak P/E multiple to our EPS forecast for three years out (29/3).

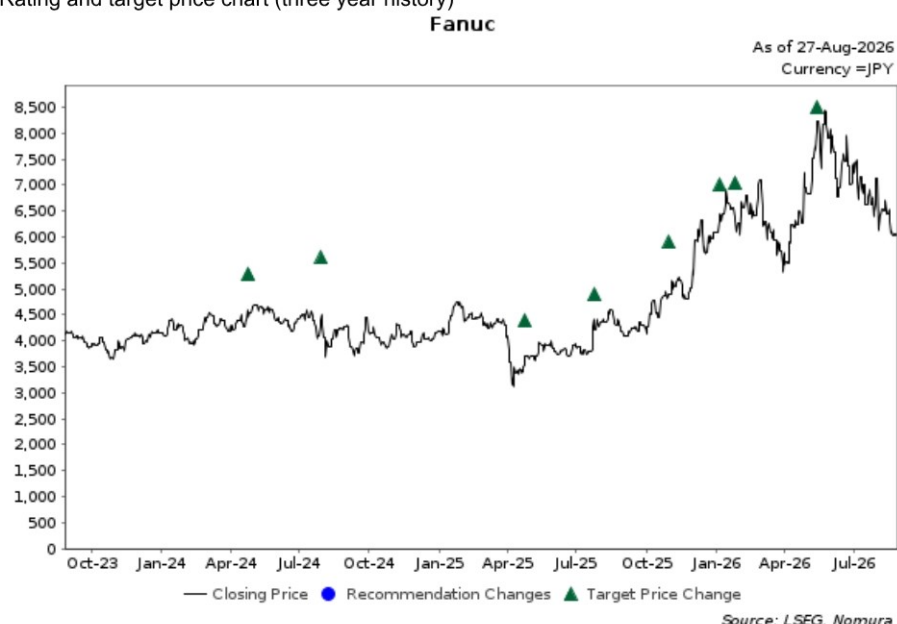
Risks that may impede the achievement of the target price Factors that could cause the share price to move substantially below our target price include a scenario in which production activity or capex activity at manufacturers, the company's main

clients, falls sharply. The company is fabless, and we think most of its overseas contract manufacturers, which account for about 20% of its contract manufacturers, are based in China, and thus we see supply chain disruptions as a risk. Other risk factors include a stronger yen and slow progress with passing on tariff costs.

Fanuc (6954 JP)

JPY 6,023 (27-Aug-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
14-May-26		8,500	8,036
26-Jan-26		7,050	6,394
06-Jan-26		7,000	6,446
31-Oct-25		5,900	4,909
25-Jul-25		4,900	4,220
24-Apr-25		4,400	3,542
30-Jul-24		5,600	4,387
25-Apr-24		5,300	4,455

For explanation of ratings refer to the stock rating keys located after chart(s)

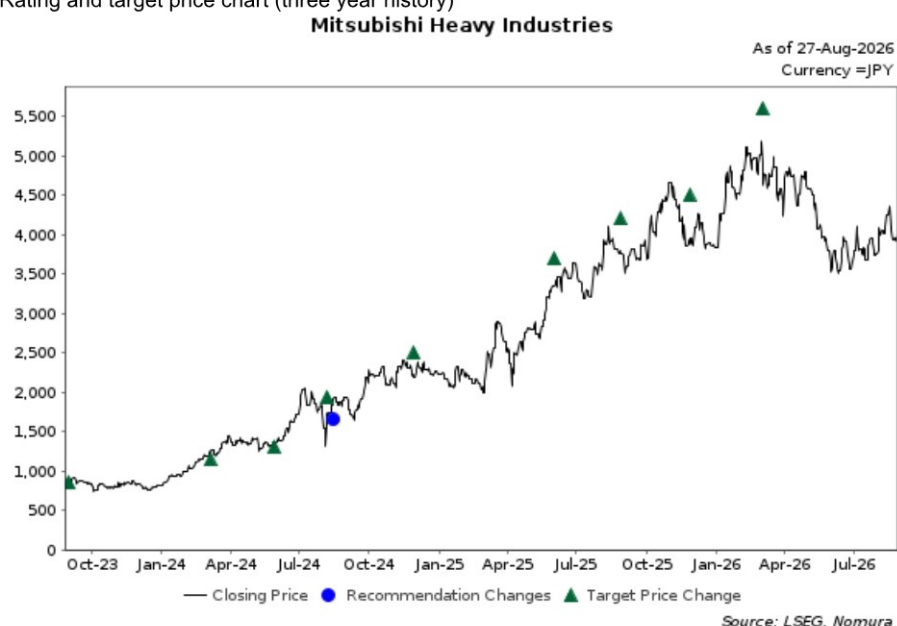
Valuation Methodology We obtain our target price of ¥8,500 by multiplying our 28/3 EPS forecast of ¥272 by a P/E of around 31x. Robot and CNC orders have been rising recently, driven by the US and China, and we see increased prospects for further growth in demand for robots over the longer term as physical AI advances. Taking these two factors into account, we use a fair-value P/E of 31x, slightly below the peak EPS during previous profit growth phases (18/3 and 23/3, when profits peaked) as sales growth has been slower than order growth owing to issues with parts procurement for CNC equipment.

Risks that may impede the achievement of the target price Factors that could cause the share price to undershoot our target price include a greater-than-expected decline in capex in response to a greater-than-expected deterioration in business sentiment among Chinese and global manufacturers. The company's earnings could be affected substantially if manufacturing sector conditions change in North America, China, and other parts of Asia, where the company generates a relatively high percentage of sales. We also note the risk that the situation in the Middle East could tighten supply-demand conditions for raw materials and energy, and hampering production, particularly in Japan.

Mitsubishi Heavy Industries (7011 JP)

JPY 3,985 (27-Aug-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
03-Mar-26		5,600	4,922
27-Nov-25		4,500	3,882
28-Aug-25		4,200	3,801
02-Jun-25		3,700	3,340
29-Nov-24		2,500	2,197.5
07-Aug-24	Buy		1,730.0
07-Aug-24		1,940	1,730.0
29-May-24		1,300	1,308.0
06-Mar-24		1,140	1,258.5
01-Sep-23		860	833.0

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We obtain our target price of ¥5,600 by multiplying our 30/3 EPS forecast of ¥176 by a P/E of around 32x. The P/E was 20x in 16/3, when profits peaked during the previous profit growth cycle. We also factor in the prospect of strong long-term profit CAGR of 15% from 30/3 onwards thanks to stable profit growth at GTCC, defense, and nuclear power operations.

Risks that may impede the achievement of the target price Factors that could cause the share price to move substantially below our target price include stiffer competition or waning demand for the company's products owing to a stronger yen,

economic deterioration in MEDCs or emerging markets, or decarbonization, and additional expenses, including higher costs at the IGCC project or the thermal power project in South Africa. Other downside risk factors include lackluster aircraft-related demand, supply chain disruption, contract changes, and product problems within the program as a whole.

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As at 30 June 2026.

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** As defined by the EU Market Abuse Regulation

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the analyst expects the sector to underperform the Benchmark during the next 12 months. Sectors that are labelled as **'Not rated'** or shown as **'N/A'** are not assigned ratings. Benchmarks are as follows: **United States:** S&P 500; **Europe:** Dow Jones STOXX 600; **Global Emerging Markets (ex-Asia):** MSCI Emerging Markets ex-Asia. **Japan/Asia ex-Japan:** Sector ratings are not assigned.

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When bonds are purchased via public offerings, secondary distributions, or other OTC transactions with Nomura Securities, only the purchase price shall be paid, with no sales commission charged. Bonds carry the risk of losses, as prices fluctuate in line with changes in market interest rates. Bond prices may also fall below the invested principal as a result of such factors as changes in the management and financial circumstances of the issuer, or changes in third-party valuations of the bond in question. In addition, foreign currency-denominated bonds also carry the risk of losses owing to factors such as foreign exchange rate fluctuations.

When Japanese government bonds (JGBs) for individual investors are purchased via public offerings, only the purchase price shall be paid, with no sales commission charged. As a rule, JGBs for individual investors may not be sold in the first 12 months after issuance. When JGBs for individual investors are sold before maturity, an amount calculated via the following formula will be subtracted from the par value of the bond plus accrued interest: (1) for 10-year variable rate bonds, an amount equal to the two preceding coupon payments (before tax) x 0.79685 will be used, (2) for 5-year and 3-year fixed rate bonds, an amount equal to the two preceding coupon payments (before tax) x 0.79685 will be used.

When inflation-indexed JGBs are purchased via public offerings, secondary distributions (uridashi deals), or other OTC transactions with Nomura Securities, only the purchase price shall be paid, with no sales commission charged. Inflation-indexed JGBs carry the risk of losses, as prices fluctuate in line with changes in market interest rates and fluctuations in the nationwide consumer price index. The notional principal of inflation-indexed JGBs changes in line with the rate of change in nationwide CPI inflation from the time of its issuance. The amount of the coupon payment is calculated by multiplying the coupon rate by the notional principal at the time of payment. The maturity value is the amount of the notional principal when the issue becomes due. For J17 and subsequent issues, the maturity value shall not undercut the face amount. Purchases of investment trusts (and sales of some investment trusts) are subject to a purchase or sales fee of up to 5.5% (tax included) of the transaction amount. Also, a direct cost that may be incurred when selling investment trusts is a fee of up to 2.0% of the unit price at the time of redemption. Indirect costs that may be incurred during the course of holding investment trusts include, for domestic investment trusts, an asset management fee (trust fee) of up to 5.5% (tax included/annualized basis) of the net assets in trust, as well as fees based on investment performance. Other indirect costs may also be incurred. For foreign investment trusts, indirect fees may be incurred during the course of holding such as investment company compensation.

Investment trusts invest mainly in securities such as Japanese and foreign equities and bonds, whose prices fluctuate. Investment trust unit prices fluctuate owing to price fluctuations in the underlying assets and to foreign exchange rate fluctuations. As such, investment trusts carry the risk of losses. Fees and risks vary by investment trust. Maximum applicable fees are subject to change; please thoroughly read the written materials provided, such as prospectuses or documents delivered before making a contract.

In interest rate swap transactions and USD/JPY basis swap transactions ("interest rate swap transactions, etc."), only the agreed transaction payments shall be made on the settlement dates. Some interest rate swap transactions, etc. may require pledging of margin collateral. In some of these cases, transaction payments may exceed the amount of collateral. There shall be no advance notification of required collateral value or collateral ratios as they vary depending on the transaction. Interest rate swap transactions, etc. carry the risk of losses owing to fluctuations in

market prices in the interest rate, currency and other markets, as well as reference indices. Losses incurred as such may exceed the value of margin collateral, in which case margin calls may be triggered. In the event that both parties agree to enter a replacement (or termination) transaction, the interest rates received (paid) under the new arrangement may differ from those in the original arrangement, even if terms other than the interest rates are identical to those in the original transaction. Risks vary by transaction. Please thoroughly read the written materials provided, such as documents delivered before making a contract and disclosure statements.

In OTC transactions of credit default swaps (CDS), no sales commission will be charged. When entering into CDS transactions, the protection buyer will be required to pledge or entrust an agreed amount of margin collateral. In some of these cases, the transaction payments may exceed the amount of margin collateral. There shall be no advance notification of required collateral value or collateral ratios as they vary depending on the financial position of the protection buyer. CDS transactions carry the risk of losses owing to changes in the credit position of some or all of the referenced entities, and/or fluctuations of the interest rate market. The amount the protection buyer receives in the event that the CDS is triggered by a credit event may undercut the total amount of premiums that he/she has paid in the course of the transaction. Similarly, the amount the protection seller pays in the event of a credit event may exceed the total amount of premiums that he/she has received in the transaction. All other conditions being equal, the amount of premiums that the protection buyer pays and that received by the protection seller shall differ. In principle, CDS transactions will be limited to financial instruments business operators and qualified institutional investors. Transfers of equities to another securities company via the Japan Securities Depository Center are subject to a transfer fee of up to ¥11,000 (tax included) per issue transferred depending on volume. No account fee will be charged for marketable securities or monies deposited.

Nomura Securities Co., Ltd.

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